Harcourt Brennan Valuers Pty Ltd
Property valuation and advisory

Independent Valuation
Seachange Bribie Island

Mortgage security valuation of a land lease community at 118 Casuarina Way, Bellara, Queenslar

Prepared for Quillwood Credit Partners

Valuation date: 4 April 2025

Version 1.0, final for credit use

Prepared by Harcourt Brennan Valuers Pty Ltd

Reference: HBV-BNE-2025-0417-V1

Date: 4 April 2025

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Borrower	Seachange Living Pty Ltd (ABN 40 987 804 650)
Sponsor	Seachange Group Holdings Pty Ltd (Seachange Group)
Property	Seachange Bribie Island, 118 Casuarina Way, Bellara QLD 4507 (Moreton Bay Regional Council area)
Registered office of borrower	Suite 4, Level 1, 22 Benabrow Avenue, Bellara QLD 4507
Tenure and site area	Freehold, 17.8 hectares
Valuation date	4 April 2025
Prepared for	Quillwood Credit Partners
Prepared by	Harcourt Brennan Valuers Pty Ltd (Brisbane)
Purpose	First mortgage security for a proposed A$46.0M senior secured construction and investment facility
Version	1.0 final

Report details

1. Executive summary

Quillwood Credit Partners has instructed Harcourt Brennan Valuers Pty Ltd to assess the market value of Seachange Bribie Island, a gated over-50s land lease community under development at Bellara, Bribie Island. The valuation is for first registered mortgage security purposes in connection with a proposed senior secured construction and investment facility of A$46.0M to Seachange Living Pty Ltd over a 36 month tenor.

We have assessed the as-is market value of the property at A$58.4M, of which A$24.0M is attributable to the land with its development approval and the balance of A$34.4M to completed Stage 1 improvements, community facilities, infrastructure and Stage 2 and Stage 3 works in progress, together with the site fee income from occupied homes. We have assessed the gross realisation value (GRV) of the home sale proceeds for the full 210 home masterplan at A$106.1M, based on an average home price of A$505,000. This figure excludes the value of the retained site fee income.

The information memorandum dated 3 March 2025 (IM) adopts a higher GRV, a lower total development cost and a higher stabilised site fee. In each case we have adopted the independent figure, and the differences are material. They are set out in section 8. On the independent figures, the proposed facility represents a loan to value ratio (LVR) of 43.4% on GRV and a loan to cost ratio (LVC) of 56.6% on a total development cost (TDC) of A$81.3M.

Item	Amount	Basis
Land value (as-is)	A$24.0M	Direct comparison and residual analysis
As-is market value	A$58.4M	Summation of land and improvements
GRV (home sale proceeds)	A$106.1M	210 homes at A$505,000 average
TDC	A$81.3M	Lindqvist Rowe QS assessment
Cost to complete	A$38.2M	Lindqvist Rowe QS assessment
Stabilised weekly site fee	A$155	Market evidence, per home
LVR on GRV	43.4%	A$46.0M facility limit
LVC	56.6%	A$46.0M facility limit

Table 1: Summary of valuation conclusions

2. Instructions, basis and scope

2.1 Basis of valuation

Market value is assessed in accordance with the Australian Property Institute Valuation and Property Standards and the International Valuation Standards. It is the estimated amount for which an interest in real property should exchange on the date of valuation between a willing buyer and a willing seller in an arm's length transaction, after proper marketing, where the parties had each acted knowledgeably, prudently and without compulsion.

2.2 Scope and information relied upon

We inspected the property and the Stage 2 and Stage 3 work fronts in late March 2025. We have relied on the following material supplied by the borrower or Quillwood Credit Partners:

- the approved masterplan and Moreton Bay Regional Council development approval dated 17 February 2023;
- the information memorandum dated 3 March 2025, which was prepared using draft financial figures;
- the audited financial statements for the year ended 31 December 2024, signed on 21 March 2025 (auditor: Dunmore Fielding Chartered Accountants);
- Stage 1 settlement and occupancy schedules and the Stage 2 and Stage 3 presale contract register; and
- the cost assessment of Lindqvist Rowe Quantity Surveyors Pty Ltd (Brisbane), which is completing its independent report.

We are not quantity surveyors. We have adopted the TDC of A$81.3M and cost to complete of A$38.2M as assessed by Lindqvist Rowe and advised to us. Our conclusions are subject to the final report being consistent with those figures. We have not verified the composition of TDC, and we have not undertaken a structural, environmental, geotechnical or legal review.

3. Borrower, sponsor and proposed facility

Seachange Living Pty Ltd is a single-asset special purpose company. It acquired the Bellara site on 30 June 2022 for A$19.8M, funded by sponsor equity and a bank facility. Its directors are Margaret Gillespie (Non-executive Chair), Daniel Galbraith (Managing Director and Chief Executive Officer) and Priya Gresham (Executive Director and Chief Financial Officer). The sponsor, Seachange Group, has developed and operates two other land lease communities in south-east Queensland. The head contractor is Bayside Civil and Build Pty Ltd.

The proposed facility has a limit of A$46.0M and is indicatively priced at 1M BBSW plus 6.00% per annum on drawn amounts, with a 1.75% upfront fee and a 1.00% per annum line fee on the undrawn commitment, subject to credit approval and due diligence. Proceeds are to refinance existing bank debt of A$19.6M, fund approximately A$24.6M of Stage 2 and Stage 3 construction and infrastructure costs, and fund capitalised interest and fees of approximately A$1.8M. The security is a first registered mortgage over the land and general security over the borrower's assets.

For context, the audited accounts report FY2024 revenue of A$36.3M and EBITDA of A$6.4M. Net debt at 31 December 2024 was A$17.9M, or 2.8 times EBITDA. Revenue in FY2024 was driven mainly by Stage 1 home sale settlements. It should not be read as a measure of recurring site fee income, which is a much smaller stream at this stage of the project.

4. Property description

4.1 Location and site

The property is at Bellara on the western side of Bribie Island, within the Moreton Bay Regional Council area. Access from the mainland is by the single road bridge to the island, which is relevant to the delivery of materials and the supply of labour. The site is a freehold holding of 17.8 hectares. The approved density of 210 homes equates to about 11.8 homes per hectare, which is low for the product type and allows generous landscaping, internal roads and communal space.

4.2 Improvements and staging

Development approval was granted on 17 February 2023 for 210 relocatable homes and community facilities. The masterplan has total gross floor area of approximately 32,500 square metres across homes, the clubhouse and ancillary buildings. The central amenity is a 1,420 square metre resident clubhouse with pool, bowls green and community facilities. The community is gated, with internal roads and services.

Stage	Homes	Status at valuation date	Sales position
Stage 1	84	Practical completion 23 Aug 2024	82 settled and occupied
Stage 2	72	Construction began 20 Jan 2025	49 contracts across Stages 2 and 3
Stage 3	54	Civil works underway	Included in the 49 contracts
Total	**210**		**131 settled or contracted (62.4%)**

Table 2: Staging and sales position

Stage 1 reached practical completion on 23 August 2024, with first settlements in September 2024. Occupancy of Stage 1 was 97.6% in April 2025, being 82 of 84 homes. Presales for Stages 2 and 3 are 49 contracts over 126 homes, or 38.9%. Contracts for these stages are subject to the buyer's usual need to sell an existing home, which we consider a relevant settlement risk.

4.3 Tenure model

Residents own their relocatable homes and lease the underlying site from Seachange Living under the Manufactured Homes (Residents) Act 2003 (Qld), paying a weekly site fee. Seachange Living retains ownership of the land, the clubhouse and the community infrastructure. The borrower therefore earns a development margin on initial home sales and a continuing site fee income, and the lender's security is the land and the retained interests rather than the individual homes.

5. Planning, legislation and hazard

The development approval permits the proposed use and density. We have assumed that all conditions are being or will be complied with and that no appeal or change application is pending. We have not sighted the full conditions schedule beyond the summary supplied, and we recommend that the lender's solicitors confirm compliance.

The community operates under Queensland manufactured homes legislation, which regulates site agreements, the process for increasing site fees, dispute resolution and the operator's obligations to residents. Site fee growth is therefore not wholly at the owner's discretion, and a legislative change or a resident dispute could constrain increases. Our site fee assumption of A$155 per week reflects market evidence and does not assume above-market escalation.

The site is exposed to coastal hazard, including storm tide and severe weather. We have valued the property on the basis that the approved floor levels and engineering design satisfy Council requirements. We have not obtained a flood or coastal hazard study. Insurance cost and availability for coastal Queensland is a market-wide pressure and could affect operating costs and buyer demand.

6. Market overview

Over-50s land lease communities have become an established form of downsizer housing in south-east Queensland. They appeal to buyers who release equity from an existing home and wish to retain a lower weekly cost than a conventional retirement village. Demand along the coastal fringe of Moreton Bay is supported by an ageing population and by migration from southern states. The depth of demand is, however, tied to the established housing market, because most buyers must sell an existing home to settle.

Bribie Island has a high proportion of older residents, established health and retail services and a relatively affordable entry price compared with the Sunshine Coast. The bridge is a single point of access, and the island is a smaller buyer catchment than the mainland. In our view the product is best positioned at the middle of the market, and pricing above the middle of the range would extend selling periods.

We have considered the following evidence of recent settlements and fees. The figures are averages drawn from developer and agent sources, and we have made no formal adjustment for differences in home size, amenity or lease terms.

Community	Location	Avg price A$000	Weekly fee A$
Seachange Bribie Island Stage 1	Bellara	496	155
Banksia Waters Lifestyle Village	Deception Bay	470	148
Pelican Shores Living	Caboolture	520	160
Glasshouse Estate Living	Beerwah	545	165

Table 3: Market evidence considered

The evidence supports an average home price in the range of A$470,000 to A$545,000 and a weekly site fee in the range of A$148 to A$165. No community in the evidence set charges more than A$165 per week. The highest price in the set, A$545,000 at Beerwah, is for a higher-amenity location in the Sunshine Coast hinterland, and in our view it is not an appropriate benchmark for Bribie Island.

7. Valuation analysis

7.1 Land value

We have assessed the land value, with development approval and as an unimproved site, at A$24.0M. This equates to approximately A$1.35 million per hectare, or about A$114,300 per approved home. It is 21.2% above the A$19.8M paid in June 2022, which we consider reasonable given that the development approval was obtained in February 2023 and substantial civil works have since been completed on the site. A residual analysis, using the adopted GRV and the QS cost assessment, supports this level.

7.2 As-is market value

The as-is market value is A$58.4M. It comprises the A$24.0M land value and A$34.4M for completed Stage 1 improvements, the clubhouse and facilities, internal infrastructure, works in progress in Stages 2 and 3, and the site fee income from the 82 occupied homes. The current income from those homes is about A$0.66M per annum at A$155 per week. The Stage 1 homes themselves are owned by residents and do not form part of the security.

On this basis the existing bank debt of A$19.6M represents 33.6% of the as-is value, so the refinance component of the facility is well covered. The further drawings for construction are supported by the value created as the works are completed, and not by the as-is value at the valuation date.

7.3 Gross realisation value

We have assessed the GRV of home sale proceeds at A$106.1M. This is 210 homes at an average price of A$505,000. The adopted price is slightly above the Stage 1 settlement average of A$496,000, reflecting a modest price premium for later stages and the mix of floorplans, but it remains below the Pelican Shores and Glasshouse results. The GRV excludes the value of the retained site fee stream, which is dealt with below. It also includes the 82 Stage 1 homes already settled, and the remaining proceeds are therefore weighted to Stages 2 and 3, where presales cover 38.9% of homes.

7.4 Site fee income

We have adopted a stabilised weekly site fee of A$155 per home. Across 210 homes this produces gross annual site fee income of about A$1.69M. We have not included a capitalised value for this income in the GRV, and the lender should regard the stream as additional support that is realised progressively as homes settle and fees are collected. Outgoings, including rates, insurance, community management and maintenance, will absorb a material proportion of the gross figure.

7.5 Total development cost and residual margin

TDC is A$81.3M and the remaining cost to complete is A$38.2M, as assessed by Lindqvist Rowe. The balance of A$43.1M has been incurred to date. The proposed facility funds A$24.6M of the cost to complete. The remaining A$13.6M must therefore be met from Stage 1 settlement proceeds, Stage 2 and Stage 3 settlements as they occur, or sponsor equity. The lender should satisfy itself on the timing of those funding sources, because the cost to complete will be incurred before most Stage 2 and Stage 3 settlement proceeds are received.

The difference between GRV and TDC is A$24.8M, a gross margin of 23.4% on GRV and 30.5% on cost before the value of retained site fee income. In our view the margin is adequate for the risk profile, but it is more modest than the IM suggests.

8. Comparison with the information memorandum

The IM relies on assumptions that are more favourable than the independent reports for each of the three principal value drivers. The table below sets out the differences.

Metric	IM	Independent	Difference
GRV (A$M)	114.5	106.1	8.4
Average home price (A$000)	545	505	40
TDC (A$M)	76.9	81.3	4.4
GRV less TDC (A$M)	37.6	24.8	12.8
Weekly site fee (A$)	172	155	17
Annual site fee income (A$M)	1.88	1.69	0.19

Table 4: IM assumptions compared with independent figures

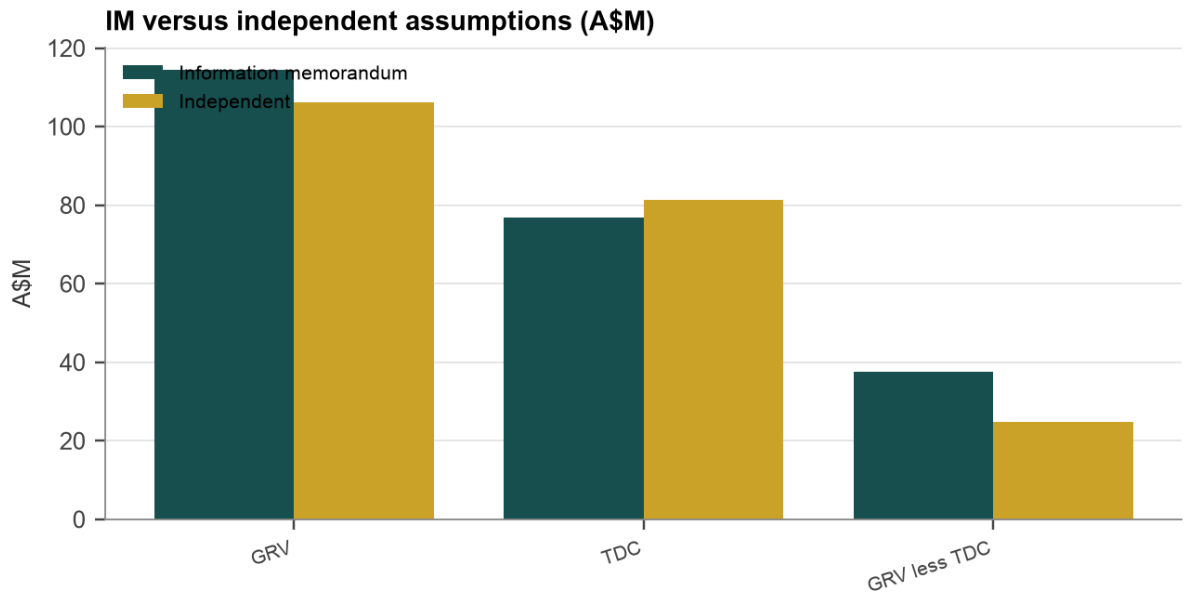


Figure 1: The independent figures reduce the implied development margin by A$12.8M

The GRV difference of A$8.4M arises because the IM assumes an average price of about A$545,000, against A$505,000 adopted by us. The TDC difference of A$4.4M arises because the QS assesses higher civil and Stage 3 building costs and a larger contingency. The site fee difference reduces annual income by about A$0.19M. Combined, the independent figures reduce the implied development margin from A$37.6M (48.9% on cost) to A$24.8M (30.5% on cost). Any projection of headroom that uses the IM figures will overstate the cushion available to the lender.

9. Security metrics and sensitivity

On the independent figures, the facility limit of A$46.0M is 43.4% of GRV and 56.6% of TDC. On the IM GRV the LVR would be 40.2%. The following table shows how the LVR moves with the average home price. It holds the facility limit constant and does not allow for the presold contracts, which are priced at contract values.

Avg price A$000	GRV A$M	LVR on GRV
465	97.7	47.1%
485	101.9	45.2%
505 (adopted)	106.1	43.4%
525	110.3	41.7%
545 (IM)	114.5	40.2%

Table 5: Sensitivity of LVR to average home price

Each A$20,000 change in the average price moves GRV by about A$4.2M, or roughly 1.7 to 1.8 percentage points of LVR. A fall of A$40,000 below our adopted price would lift the LVR to 47.1%. We note that GRV is realised progressively, and that the security is weakest in the middle of the construction period, when drawings are high and Stage 2 and Stage 3 settlements have not yet occurred.

10. Valuation risks and considerations

- Sales pace and pricing: Stages 2 and 3 are 38.9% presold, and buyers typically need to sell an existing home first. A softer coastal housing market would slow settlements and delay debt reduction.
- Construction cost and delivery: the cost to complete is A$38.2M with a limited fixed-price component. Contractor capacity, cost escalation and logistics to Bribie Island could increase costs or delay completion, and our value assumes completion in accordance with the QS programme.
- Divergence from sponsor information: the IM figures for GRV, TDC and site fee are each more optimistic than the independent reports. If the independent figures prove accurate, projected headroom is lower than the IM indicates.
- Regulatory and resident relations: site fee increases are regulated, and resident disputes or legislative change could limit fee growth.
- Coastal hazard and insurance: storm tide and severe weather exposure could raise insurance premiums or lead to tighter planning controls, which could affect costs and demand.
- Single-asset concentration: the borrower holds one asset and the tenor is 36 months, so repayment relies on timely stage settlements. A sponsor liquidity shortfall would limit support for cost overruns.

11. Assumptions, qualifications and reliance

This valuation is prepared solely for Quillwood Credit Partners for mortgage security purposes. No other party may rely on it without our written consent, and we accept no liability to any third party. It is current only at the valuation date of 4 April 2025, and market conditions, the construction programme and the sales position may change materially after that date.

We have assumed that the title is clear and marketable, that the property is free of contamination and unregistered encumbrances, and that the information supplied to us is accurate and complete. We have assumed that the

development is completed in accordance with the approved plans, that the cost to complete is as advised by Lindqvist Rowe and that all statutory approvals will be obtained when required. If any of these assumptions proves incorrect, the value may change and we should be asked to review it.

The valuation of a partly completed development with a high proportion of unsold stock is more sensitive to market change than that of a stabilised asset. We recommend that the lender obtain an updated valuation before any material increase in the drawn balance, on practical completion of Stage 2, and if settlements fall materially below the presale contract schedule. The lender should also obtain the final QS report, a monitoring report at each drawdown and confirmation of insurance cover, including for severe weather events.

12. Valuer sign-off

Valuer	Harcourt Brennan Valuers Pty Ltd (Brisbane)
Valuation date	4 April 2025
Adopted as-is market value	A$58.4M
Adopted GRV (home sale proceeds)	A$106.1M
Signed	Certified Practising Valuer, for and on behalf of Harcourt Brennan Valuers Pty Ltd
Peer review	Director, Harcourt Brennan Valuers Pty Ltd

Valuer certification